

US Stocks Extend Gains as Tech Leads the Charge

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market extended its gains yesterday, with the **Nasdaq 100** leading the charge, up **+1.19%**. The rally was driven by a strong performance in the tech sector, with **NVDA** and **TSLA** being the top large-cap movers. Below the surface, the 10Y yield fell **-0.21%**, while gold rose **+2.33%**, indicating a risk-on sentiment.

The market's focus is now on the upcoming earnings season, with several major companies set to report their quarterly results. The **Dow Jones** and **S&P 500** also posted gains, up **+0.28%** and **+0.62%** respectively. The **VIX** fell **-1.65%**, indicating a decrease in market volatility.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,757.64	+0.62%	Tech sector rally
Nasdaq 100	29,722.30	+1.19%	Tech sector rally
Dow Jones	54,036.93	+0.28%	Industrial sector gains
Russell 2000	3,034.49	+1.10%	Small-cap rally
VIX	14.90	-1.65%	Decrease in market volatility

Top large-cap movers

TICKER	CHANGE	CATALYST
NVDA	+2.27%	Tech sector rally
TSLA	+2.83%	Tech sector rally
AAPL	+0.29%	Tech sector rally

Sector Rotation

ETF	DAY	READ
XLK	+1.42%	Tech sector rally
XLY	+1.49%	Consumer discretionary gains
XLB	+1.32%	Materials sector gains
XLE	-1.13%	Energy sector decline
XLF	-0.36%	Financial sector decline
XLI	+0.23%	Industrial sector gains
XLP	+0.01%	Consumer staples flat
XLV	+0.75%	Healthcare sector gains
XLU	+0.53%	Utilities sector gains
XLRE	+0.38%	Real estate sector gains
XLC	+0.06%	Communication services flat

Spotlight

The biggest event of the day was the rally in the tech sector, led by **NVDA** and **TSLA**. The rally was driven by a combination of factors, including strong earnings reports and a decrease in market volatility.

METRIC	VALUE	READ
NVDA earnings growth	+20%	Strong demand for AI products
TSLA deliveries	+15%	Increasing demand for electric vehicles

Pre-Market & Overnight

US futures are trading higher, with the **Dow Jones** futures up **+0.5%** and the **S&P 500** futures up **+0.6%**. The Asia markets are also trading higher, with the **Nikkei 225** up **+1.2%** and the **Shanghai Composite** up **+0.8%**.

Macro & Fed

The 10Y yield is trading at 4.66, down **-0.21%** from yesterday. The yield curve is flattening, with the 2Y-10Y spread at 0.5. Today's data calendar includes the 09:30 HKT release of the US trade balance, with a consensus of -\$70B. The data is expected to have a moderate impact on the market.

TIME HKT	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	US trade balance	-\$70B	Impact on US dollar and trade policy

Geopolitics & Global

- The US and China are set to resume trade talks, with a focus on resolving the ongoing tariff dispute.
- The EU is considering imposing sanctions on Russia in response to the ongoing conflict in Ukraine.
- The Middle East is seeing increased tensions, with the US and Iran engaging in a war of words over the nuclear deal.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00 (10 Aug)	AAPL	\$1.20	iPhone sales and services growth
22:00 (11 Aug)	MSFT	\$1.30	Cloud computing growth and margins

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Tech	Strong earnings growth and AI demand
TSLA	Auto	Increasing demand for electric vehicles
AAPL	Tech	iPhone sales and services growth

What Could Break the Tape

BULLISH TRIGGERS

- Strong earnings reports from major companies
- Decrease in market volatility and increase in risk appetite
- Improving economic data and consumer sentiment

BEARISH TRIGGERS

- Weakening economic data and consumer sentiment
- Increase in market volatility and decrease in risk appetite
- Escalating trade tensions and geopolitical risks

Positioning Notes

- The market is seeing a rotation into growth stocks, with the **Nasdaq 100** outperforming the **Dow Jones**.
- The yield curve is flattening, with the 2Y-10Y spread at 0.5.
- The **VIX** is trading at 14.90, down **-1.65%** from yesterday.

Sources

Bloomberg

Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com